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VENTURE DEBT

Early-stage startups take a third of venture debt funding

By [Jacob Robbins](#)

Published July 18, 2025

Early-stage startups are taking their biggest share of venture debt funding in six years, jumping to 34.7% of the \$30.67 billion total in US debt value so far this year, according to the latest [PitchBook-NVCA Venture Monitor](#).

While some early-stage companies are turning to debt to avoid raising a down round, others are using the financing to avoid giving up equity altogether.

“There generally always has been a preference to take dilutive capital,” said Melissa Widner, a former venture capitalist and now CEO of [Lighter Capital](#), a firm that lends to startups. “Now we’re seeing the pendulum fundamentally switch.”

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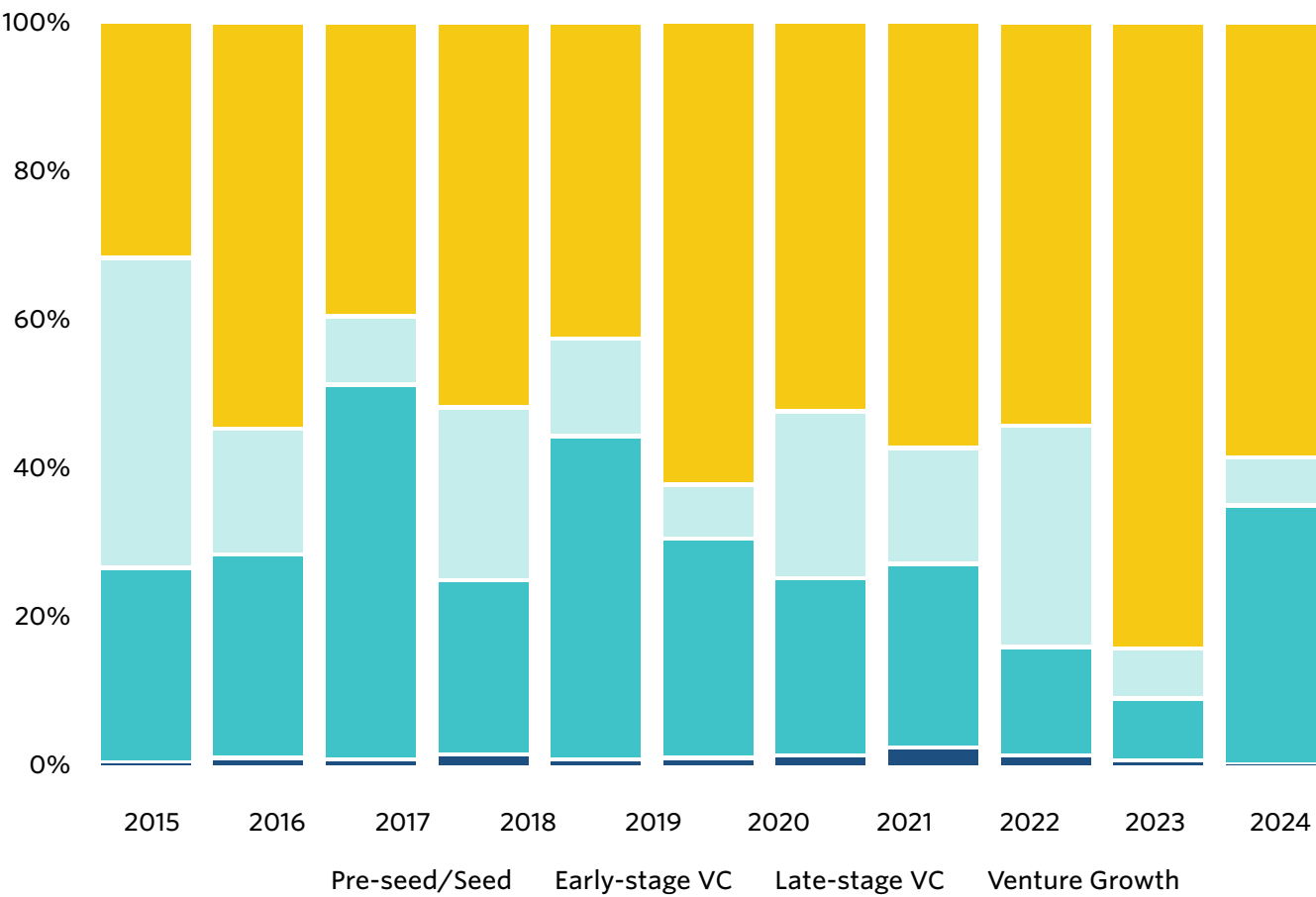
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Early-stage venture debt lending has reached \$10.67 billion so far this year, and is poised to surpass 2019’s all-time high of \$11.82 billion. This is in stark contrast to the sharp decline of the past five years, with 2024 marking an all-time low at 8.3% of the \$60.59 billion deployed that year.

Venture debt's early risers



Source: [Q2 2025 PitchBook-NVCA Venture Monitor](#) • Geography: US • As of June 30, 2025

“I think a lot of this also has to do with the market waking up to this idea that you don’t need a VC to be a credible company,” Widner said. “I think there’s a real pride in being

bootstrapped and this idea that VCs sometimes detract from value rather than add value.”

But some experts say the explanation remains simple.

“A lot of companies are still underwater on their valuations and probably will be for a while,” said James Turner, founder and CEO of the venture debt advisory firm [5th Line Capital](#). “They’re fine businesses, but debt is definitely the more attractive route for them right now.”

Many of these early-stage startups raised capital three years ago, when fundraising and valuations were reaching a fever pitch, Turner said.

Since then, valuations have fallen sharply at all stages. And the percentage of down rounds as a share of all VC deals has risen to a decade high of 17.6%, according to PitchBook’s [Q1 US VC Valuations and Returns Report](#).

Now, companies are trying to wait out the dip, and the venture debt industry is cashing in, Turner said.

“We’re seeing activity pick up continuously,” he said. “Lenders have money to lend and borrowers need to put money to work.”

Featured image by NiseriN/Getty Images

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About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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